

the 12% rate had fewer items. Further, the higher rate of 40% would bring in additional revenue. A cess is also expected to be levied on sin products like tobacco to ensure the tax incidence remains the same as now.

Industry remains concerned over the transition and the impact on sales, since the festive season started from around Ganesh Chaturthi at the end of August and several consumers have postponed purchases till the cuts come into play. What happens to existing inventory and how it will be priced post the tax cuts is also a worry.

Mom and pop stores say they have no option but to continue stocking inventory and not think much about the cuts. "We have to continue doing business, otherwise that will also result in a loss. The festive season is a few weeks away and we need to place orders," notes Manish Agarwal, who runs a neighbourhood shop in Delhi.

Auto firms are looking at a potential loss of ₹2,500 crore as the compensation cess ends on high-end cars and the Federation of Automobile Dealers Associations has written to the Prime Minister for a solution.

It's not all rosy in the apparel sector, where GST on apparel above ₹2,500 has been increased to 18% from 12%, and items priced below that are to be taxed at 5%. The Cloth Manufacturers Association of India has welcomed the increase of the 5% GST limit for garments from ₹1,000 to ₹2,500 but has noted that in the entire textile value chain, garments above ₹2,500 are the only products that are not in the 5% bucket.

Retailers also point out that the younger generation chooses to buy clothes from foreign brands for an

aspirational lifestyle and this will dampen sentiment. The Retailers' Association of India has said placing garments and footwear above ₹2,500 in the 18% GST slab could hurt affordability for the middle class and weaken the organised re-

sition troubles, the government has now permitted manufacturers, packers, and importers to use existing packaging material by affixing revised prices to reflect the revised pricing.

The Ministry of Consumer Affairs has extended this facility to manufacturers, packers and importers of pre-packaged goods for unsold stock or inventory with them till September 22, when the new GST rates will come into effect. The facility will be available up to December 31, 2025, or until the existing stock is exhausted, whichever is earlier.

Worries also abound over inverted duty structures in several cases ranging from insurance to vegetable oil and packaging as a number of services are still taxed at 18% as against lower rates for end products.

The other concern, also raised by several states, is whether the tax cuts will actually be passed on to end consumers. There is no provision for an anti-profiteering authority like in 2017 when GST first came into effect.

The government is working on ensuring a smooth transition and is keeping a tab on current price trends. Sanjay Kumar Agarwal, Chairman of the Central Board of Indirect Taxes and Customs (CBIC), tells *BT* that if companies are not passing on the benefits to consumers, the government will take up the issue with industry bodies. While there will be some transition issues, he is optimistic that these will be worked out in the next few weeks. He, as well as other government officials are meeting industry bodies to help with implementing the changes. Cabinet Secretary T.V. Somanathan has also held an inter-ministerial

₹93,000

CRORE

ESTIMATED LOSS FROM GST RATE CUTS

₹48,000

CRORE

NET FISCAL IMPACT TO EXCHEQUER

₹45,000

CRORE

EXPECTED COLLECTIONS FROM SIN AND LUXURY TAX IN GST 2.0

tail and garment sector. It has also recommended taxing all footwear and apparel at 5% or placing a more reasonable price threshold.

Re-stickering or retagging prices on merchandise also needs to be done across sectors.

To ease at least some of the tran-